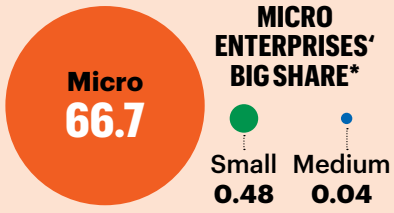
THE MIGHTY MINIS

Micro units dominate the Micro, Small & Medium Enterprises (MSME) sector in both numbers and employment

TOTAL MSME UNITS

67.1 MILLION



REGISTRATIONS BY ACTIVITY*

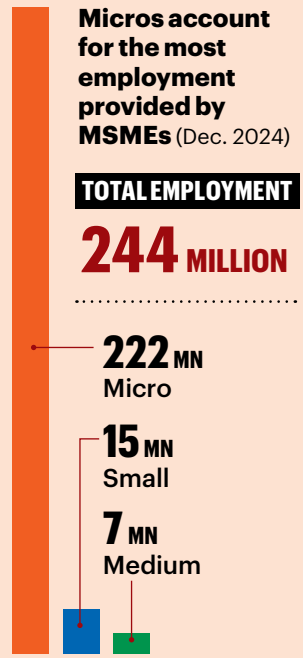


*All figures in million; as on Aug. 21, 2025

Micros account for the most employment provided by MSMEs (Dec. 2024)

TOTAL EMPLOYMENT

244 MILLION



TOTAL MSME CONTRIBUTION

From jobs to GDP, exports to manufacturing, MSMEs remain central to India's economic strength

30.1% Contribution to GDP (2022-23)

45% Contribution to exports (2023-24)



2nd largest employer after agriculture

36% Contribution to manufacturing output (2022-23)

Source: Ministry of MSMEs

workforce. Of these, micro units account for 222 million, making them the second largest employer after agriculture. Though there is no individual break-up of value for the micro segment, MSMEs collectively account for 30 per cent of India's GDP, 36 per cent of manufacturing and 45 per cent of exports. That's how important they are. As India retools its economy to meet the challenges of the tariff tempest unleashed by US president Donald Trump and the realignment of global supply chains, these mighty minis have become India's natural champions.

When PM Modi in his Independence Day address to the nation talked of kicking off next-gen reforms, the MSME sector was on top of his mind. The Diwali bonanza of restructuring the GST by not only rationalising the four tax slabs but also cutting down on stressful paperwork is directed mainly toward boosting the MSME sector, which had taken hard knocks due to the pandemic. The recent spate of free trade agreements with the UK, Australia, the UAE and EFTA is designed to open new markets for MSMEs. Dr Pramod K. Mishra, principal secretary to the prime minister, says, "The Centre's MSME policies are directed towards making these micro and small enterprises grow in size so that they enjoy the benefits of economies of scale and ensure the requisite quality critical to make inroads into global value chains. We see MSMEs as the crucial drivers of sustainable growth, innovation and inclusive development, and integral to achieving Viksit Bharat by 2047."

A HELPING HAND

This April, the Modi government revised MSME classifications so that they could benefit better from the Centre's Credit Guarantee Scheme (CGS). The turnover for eligibility for micro units was doubled from Rs 5 crore to Rs 10 crore, for small industries from Rs 50 crore to Rs 100 crore, and for medium enterprises from Rs 250 crore to Rs 500 crore. Under the revised CGS policy, these units can avail of up to Rs 1 crore collateral-free loans. CGS disbursements have grown tenfold in the past decade; last year, loans worth Rs 10.5 lakh crore were disbursed to 12.2 million entrepreneurs. The Modi government has also incentivised large commercial banks, both public and private, to increase lending to MSMEs.

Then there is the PM Mudra Scheme, which focuses on first-generation micro entrepreneurs, especially women, with loans of up to Rs 20 lakh. This has seen Rs 34.53 lakh crore being disbursed to 538 million individuals in the past decade. "This is a staggering number that has helped crores of micro and small entrepreneurs," Mishra says. "Such credit schemes have fostered a cultural change, with micro entrepreneurs not having to worry about credit while starting their businesses." Among those who have made full use of the Mudra scheme is Shruti Malik Oberoi, who walked away from her corporate job to return to her hometown Yamunanagar in Haryana and start Iris Learnings, which provides skill development to people below the poverty line. She began by training labourers to drive and repair tractors, then helped them with Mudra loans to buy them and later earn money by providing farmers with mechanised tilling. That success saw Shruti expand her business to train a range of workers to get jobs in leading companies.

These micropreneurs are not your average small businesses. They are

Graphic by TANMOY CHAKRABORTY